HR / 25 December 2025

Leave policy for EX and above employees

Objective: To provide employees with the opportunity to take time off from work, fulfil social obligations, meet personal needs and to ensure well-being.

Principles of the new leave policy

- Work – life balance
- Simplicity
- Standardisation
- Progressiveness

Scope: The policy will be applicable for all EX and above employees across locations.

Key highlights of the policy:

- The total quantum of leave will be as follows:
  - Earned Leave (EL): 15 Days in a calendar year
  - Casual cum Sick Leave (CSL): 12 days in a calendar year
  - Exigency Leave (ExL):
    - For Akurdi:
      - The employees observing "5 days work week" and "5 & 5 ½ day work week" will be eligible for **10 days** of ExL in a Calendar year
      - The employees observing "6 days work week" will be eligible for **15 days** of ExL in a Calendar year.
    - For ROs and other offices: **10 days** in a calendar year
    - For Chakan, Pantnagar & Waluj: **15 Days** in a calendar year
- The maximum leave that can be carried forward to the next year in each leave type will be 45 days.
- Hence, maximum opening balance on 1st January, will be as follows:
    - EL : 45 + 15 days credited basis the number of days work done by an employee during the previous calendar year
    - CSL : 45 + 12 days of advance leave
    - ExL : 45 + 10 or 15 days (as above) of advance leave basis locations
- Encashment rules are same for all locations.

Policy details are given below:

- **Earned Leave (EL):**
  - An employee is eligible for 15 EL per calendar year (i.e. from 1st January to 31st December)
  - We will continue to credit EL to an employee as per the existing practice. The EL will get credited to the employee on 1st January every year, basis the number of days that he/she has worked during the previous calendar year (pro-rated)
  - For better work-life balance, out of these 15 EL, an employee is expected to plan and avail at least 6 EL (mandatory Leave) in a year. If not availed, these 6 EL will lapse.
  - This means, out of these 15 EL, an employee can carry forward a maximum of 9 EL to the next year.
  - Maximum quantum of leave that can be carried forward to the next year will be 45 days. Hence, maximum opening balance on 1st January will be
    - EL carried forward (maximum of 45 days) plus
    - EL that will get credited on 1st January every year, basis the number of days worked

done by an employee during the previous calendar year (pro-rated)
  - At the end of the calendar year, any un-availed and accumulated leave in excess of 45 days will NOT be encashed and will lapse.
  - The accumulated leave will be encashed only at the time of separation. The encashment will be done on "Basic Salary".

- **Casual cum Sick Leave (CSL):**
  - An employee is eligible for 12 CSL per calendar year (i.e. from 1st January to 31st December)
    - As per the present practice, these Leave will be credited on 1st January as advance leave
  - Maximum quantum of leave that can be carried forward to the next year will be 45 days. Hence, maximum opening balance on 1st January will be
    - CSL carried forward (maximum of 45 days) plus
    - 12 CSL that will get credited on 1st January every year as an advance leave
  - At the end of the calendar year, any un-availed and accumulated CSL in excess of 45 days will NOT be encashed and will be auto converted to ExL.
  - CSL will never be encashed, not even at the time of separation

- **Introduced new leave type as Exigency Leave (ExL):** To help employees to manage unforeseen situations, "Exigency Leave (ExL)" have been introduced.

  - Eligibility for Exigency leave is as below:
    - For Akurdi:
      - The employees observing "5 days work week" and "5 & 5 ½ day work week" will be eligible for **10 days** of ExL in a Calendar year
      - The employees observing "6 days work week" will be eligible for **15 days** of ExL in a Calendar year
    - For ROs: **10 days** in a calendar year
    - For Chakan, Pantnagar & Waluj: **15 Days** in a calendar year
  - Similar to CSL, ExL will also be credited on 1st January every year as an advance leave
  - Maximum quantum of leave that can be carried forward to the next year will be 45 days. Hence, opening balance on 1st January will be
    - ExL carried forward (maximum of 45) plus
    - 10 or 15 Exl (as mentioned above) that will get credited on 1st January every year as advance leave
  - At the end of the calendar year, any un-availed and accumulated ExL in excess of 45 days will NOT be encashed and will lapse.
  - ExL will never be encashed, not even at the time of separation
- Since CSL and ExL are credited in advance, at the end of the year, actual eligibility will be calculated basis pro-rated paid days in the year. In case of any unpaid days in the year, leave will be reduced proportionately from next year's opening balance

- **Approval process:**

  - The leave approval process will continue for EL, CSL and ExL through ESS
  - ExL can be availed **in a block of minimum of 3 consecutive days only**
  - The approval flow will be as follows:
    - For EX employees the approval will go to reporting manager
      - The reporting manager should act on the request within 14 days of initiation post which such request will be automatically approved.

- For LX and above employees, such requests need to be self-approved

- **Advance Leave:**
  - As mentioned above, the CSL and ExL will be an advance leave and will be credited (on pro-rata basis for new joiners) to their Leave account
  - However, the EL will get credited to the employee's account on 1st January every year, basis the number of days that he/she has worked during the previous calendar year
  - **In case an employee needs advance EL to manage any unavoidable obligations, maximum of 7 days of advance EL can be given to the employee subject to the CHRO's approval**

- **Weekly Offs & Paid Holidays (PH) during a leave period:**
  - Weekly Offs & Paid Holidays (PH) during leave period will NOT be considered as leave, for e.g.:
    - Leave applied for 25th January to 27th January will be considered as 2 days leave since 26th January is a Paid Holiday

- **Adjustment of CSL on account of Paid Holiday:**
  - The total of CSL and Paid Holidays for Akurdi (excluding EV Plant) and ROs will be 20 (12 CSL + 8 Paid Holidays) days
  - The total of CSL and Paid Holidays for Akurdi (EV Plant only), Chakan, Waluj and Pantnagar will be 18 (12 CSL + 6 Paid Holidays) days
  - As per the current practice, leave adjustment at various locations on account of paid holidays declared by government authorities every year will be done against the CSL eligibility for employees in the respective location. CSL will be treated as balancing leave.
  - Example:
    - CSL + PH at Chakan: 6 Paid Holidays + 12 CSL = 18 days per annum
    - CSL eligibility for an RO with 10 paid holidays in a calendar year:
      - 20 days - 10 Paid Holidays = 10 CSL per annum

- **Compensatory / Substitute offs:**
  - In case you are required to work on a paid holiday, you will be eligible for 1 compensatory-off with necessary approvals. Such compensatory-off is to be taken within 1 month from such instance of working.
  - In case you are required to work on a weekly off, you will be eligible for 1 substitute-off with necessary approvals. Such substitute-off is to be taken within 3 days preceding or succeeding such instance of working.
  - For ease of administration, you may apply "OD" mentioning the reason as "compensatory/substitute off" in the request.

- **While all the above rules will be applicable to new joiners, leave eligibility during the year of joining for them will be as follows:**
  - Pro-rata CSL & ExL will be credited on the date of joining of an employee as an advance leave basis working days left in the calendar year in which the employee has joined (days between joining date and 31st December of the year)
  - Pro-rata EL will get credited in January of subsequent year on basis the number of days that he/she has worked during the current calendar year
- **Mandatory leave for new Joiners in the joining year:**
  - During the first calendar year of joining, the mandatory Earned Leave for new joiners will be as follows

- If the credited leave on 1st January of subsequent year of joining is **> 9 days** → **6 mandatory leave** in the subsequent year of joining
- If the credited leave on 1st January of subsequent year of joining is **9 days & below** → **No mandatory leave** in the subsequent year of joining

- **Leave eligibility for employees getting "Separated" (for the year of separation):**
  - EL Eligibility for the year of separation
    - Eligibility will be calculated pro-rata basis days worked during the year of separation
  - CSL & ExL eligibility during the year of separation
    - CSL & ExL are credited as advance in the beginning of the year
    - Hence, actual eligibility for the year of separation will be calculated pro-rata basis days worked during the year of separation

- **Full and final settlement – Treatment of Earned Leave:**
  - For calculating the full and final settlement of an employee, the following data will be considered:
    - The accumulated EL balance, includes pro-rated eligibility of the current year.
    - Mandatory EL for the year of separation will be considered as zero
    - EL availed during the year

- **Full and final settlement – Treatment of CSL / ExL:**
  - Balance CSL & ExL will NOT be encashed at the time of separation
  - If availed leave is more than opening balance + pro-rated eligibility (from 1st January till date of relieving), it will lead to negative balance of leave. Such negative balance will be treated as a loss of pay and appropriate recovery will be done during full and final settlement

In case, as per any location specific laws, the requirements for types of leave, accumulation, etc. are different than guidelines mentioned in this policy, relevant changes will be made to above guidelines, as may be applicable to that specific location.

While the intent of the policy is to provide employees better benefits, any form of indiscipline such as un-authorized leave by any employee will be viewed seriously by the Management and an appropriate disciplinary action will be taken against such employee. Hence, it is advised to take leave with prior information and necessary approvals.

We are sure that the revised leave policy will help employees in having a better work-life balance resulting in increased overall effectiveness.

The management reserves the right to modify or withdraw this policy, in part or full, with or without prior information to the employees. Any exercise of Company discretion, wherever provided for, in this policy, shall be binding on the employee. In cases where special considerations arise which may result in deviations from the provisions of this policy, CHRO's approval shall be required.

This policy supersedes all the existing approvals and amendments thereof with reference to leave policy.